Type MS · The economic cycle: phases, jobs and prices

Answer 1 of 11 · Question 3 part e · 9 marks

2024 JUN · Paper 02 · extract 1 of 6 · find part e in this mark scheme extract

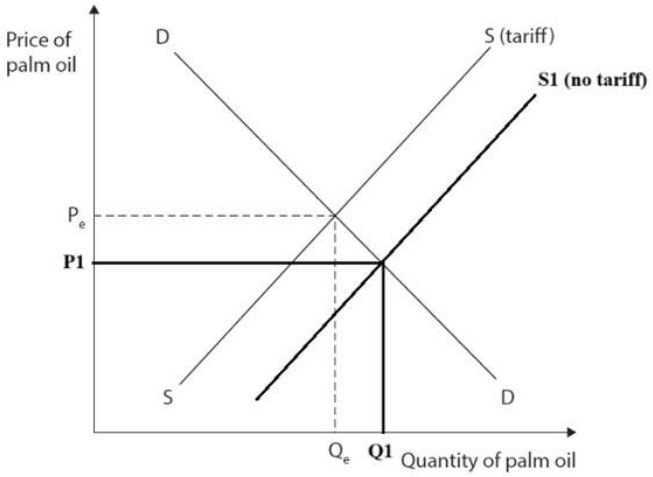
3(a)	**AO2 1 mark** The only correct answer is: **A** A Japanese car company buying an Indonesian car company B is not correct because this is an example of importing goods C is not correct because this is an example of domestic trade D is not correct because this an example of exporting goods	**(1)**

Question Number	How many US dollars ($) would it take to purchase £150? **Answer**	Mark
3(b)	**AO2 1 mark** The only correct answer is: **C** $187.50 A is not correct because this 0.80 x 150 B is not correct because this is 150 + 0.80 D is not correct because this is 150 + 80	**(1)**

Type MS · The economic cycle: phases, jobs and prices

Answer 1 of 11 · Question 3 part e · 9 marks

2024 JUN · Paper 02 · extract 2 of 6 · find part e in this mark scheme extract

Question Number	Using the diagram below, draw the effects of the removal of the tariff on the equilibrium price and quantity of palm oil imported into the UK from Malaysia. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	Mark
3(c)	**AO2 3 marks** Award 1 mark for a right shift of supply, labelled Award 1 mark for lower equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

Type MS · The economic cycle: phases, jobs and prices

Answer 1 of 11 · Question 3 part e · 9 marks

2024 JUN · Paper 02 · extract 3 of 6 · find part e in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, analyse the possible benefits for consumers of globalisation. **Indicative content**	Mark
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Consumers can access a wider range of goods and services from different countries including luxury items, exotic foods and digital products that were previously unavailable or expensive • Increased competition and economies of scale have led to lower production costs which in turn have reduced prices for many consumer goods, such as clothing, electronics and household items • As consumers have access to more and cheaper goods, their purchasing power has increased • This can lead to higher living standards, better health and improved quality of life • Globalisation has facilitated the transfer of knowledge and technology across borders • This has led to new innovations, such as smartphones, online entertainment and e-commerce	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · The economic cycle: phases, jobs and prices

Answer 1 of 11 · Question 3 part e · 9 marks

2024 JUN · Paper 02 · extract 4 of 6 · find part e in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess how a recession may affect inflation in a country such as Germany. **Indicative content**	Mark
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • A recession is two consecutive quarters of negative growth • During a recession households and firms tend to reduce their spending which results in lower demand for goods and services • This decrease in (aggregate) demand can lead to lower prices for goods and services • This could help to reduce Germany's 10.4% rate of inflation • Firms in Germany may experience lower production costs due to lower input prices such as lower wages or lower prices for raw materials • This can result in lower prices for goods and services and again help to lower inflation **AO4** • However, the effects of a recession on inflation may depend on the type of inflation Germany is suffering • Inflation can be caused by cost-push factors rather than demand-pull factors • Germany has been suffering from an energy crisis due to high gas and oil prices • This could feed through to higher production costs for firms resulting in higher prices and therefore high rates of inflation • The central bank may pursue an expansionary monetary policy during a recession by keeping interest rates low • This can lead to higher inflation even if economic growth is weak	**(9)**

Type MS · The economic cycle: phases, jobs and prices

Answer 1 of 11 · Question 3 part e · 9 marks

2024 JUN · Paper 02 · extract 5 of 6 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · The economic cycle: phases, jobs and prices

Answer 1 of 11 · Question 3 part e · 9 marks

2024 JUN · Paper 02 · extract 6 of 6 · find part e in this mark scheme extract

Question Number	Calculate the **fiscal deficit or surplus** in CAD$bn for Canada in 2021–2022. You are advised to show your working **Answer**	Mark

1(a)	**AO1 1 marks** **A** rises	**(1)**

Question Number	Answer	Mark
1(b)	**AO1 1 mark** **D** a reduction in trade barriers between members	**(1)**

Question Number	Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to a firm and 1 mark for reference to different countries An enterprise/company/firm **(1)** that produces/sells/operates in more than one country/many countries **(1)**	**(2)**

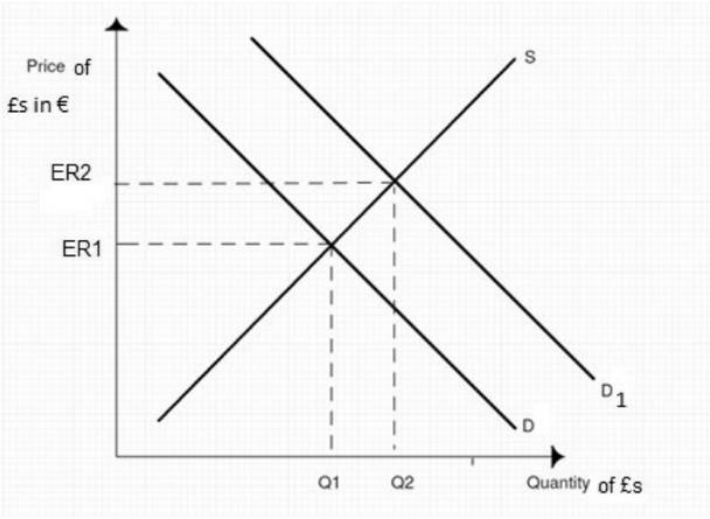
Question Number	Answer	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference to the impact and 1 mark for further development. The productive potential will increase **(1)** due to greater investment in capital goods **(1)** **OR** The productive potential will increase **(1)** as firms invest more from greater profits **(1)**	**(2)**

Type MS · The economic cycle: phases, jobs and prices

Answer 2 of 11 · Question 1 part a · 1 mark

2019 JUN · Paper 02 (regional R) · extract 2 of 5 · find part a in this mark scheme extract

Question Number	Answer	Mark
1(e)	**A02 2 marks** Award 1 mark for showing the calculation Award 1 mark for the correct answer 271.7 + (-22.4) **(1)** = €249.3bn **(1)** Award 2 marks if the correct answer is shown, with euro symbol, even if no calculations are shown Do not award marks for formula	**(2)**

Question Number	Answer	Mark
1(f)	**AO2 3 marks** Award 1 mark for right shift of demand curve, labelled Award 1 mark for higher equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

Type MS · The economic cycle: phases, jobs and prices

Answer 2 of 11 · Question 1 part a · 1 mark

2019 JUN · Paper 02 (regional R) · extract 3 of 5 · find part a in this mark scheme extract

Question Number	Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a reason Award 1 mark for developing the reason Award 1 mark for the reason being in context • One reason is because economic growth can improve living standards for the population **(1).** Growth of 0.4% leads to people having higher levels of income **(1).** This can lift people out of poverty in the UK **(1)** • One reason is because economic growth can result in higher levels of tax revenue for a government **(1).** This is due to higher levels of income within the economy **(1)** resulting in more revenue for public sector services in the UK such as education/healthcare **(1)** Accept any other appropriate response.	**(3)**

Type MS · The economic cycle: phases, jobs and prices

Answer 2 of 11 · Question 1 part a · 1 mark

2019 JUN · Paper 02 (regional R) · extract 4 of 5 · find part a in this mark scheme extract

Question Number	Indicative content	Mark
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • A fiscal surplus is when government tax receipts are greater than government spending, in this case 1.3% of GDP in 2016 and expected 0.4% of GDP in 2017 • The government of Singapore has extra funds and these funds can be allocated to pay off any government debts • This reduces the interest payable on any debt and helps the economy in the future • The government of Singapore could use the fiscal surplus to reduce taxes • It could fund new education and training programmes or improve existing public services such as healthcare	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · The economic cycle: phases, jobs and prices

Answer 2 of 11 · Question 1 part a · 1 mark

2019 JUN · Paper 02 (regional R) · extract 5 of 5 · find part a in this mark scheme extract

Question Number	Answer	Mark

1(a)	**AO1 1 marks** **B** Inflation rate	**(1)**

Question Number	**Answer**	Mark
1(b)	**AO1 1 mark** **C** privatisation	**(1)**

Question Number	**Answer**	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to economic cycle and 1 mark for reference to high levels of economic activity/employment A phase in the economic cycle **(1)** with the highest levels of economic activity/with the highest levels of employment **(1)**. Accept any other appropriate response.	**(2)**

Question Number	**Answer**	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference to time and effort and 1 mark for reference to purchasing goods The costs to firms and consumers of searching for the lowest prices **(1)** when inflation is high/prices are rising rapidly **(1)**. Accept any other appropriate response.	**(2)**

Type MS · The economic cycle: phases, jobs and prices

Answer 3 of 11 · Question 1 part c · 2 marks

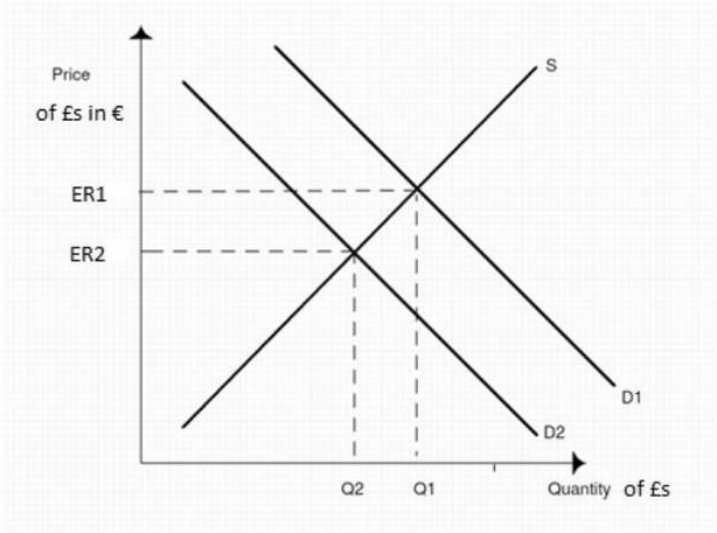
2020 JAN · Paper 02 (regional R) · extract 2 of 6 · find part c in this mark scheme extract

Question Number	**Answer**	Mark
1(e)	**A02 2 marks** Award 1 mark for showing the calculation. 150 000 x 70.66 INR **(1)** Award 1 mark for the correct answer. = 10 599 000 INR **(1)** Award 2 marks if the correct answer of 10 599 000 INR is shown, with Indian Rupee symbol, even if no calculations are shown. Award 1 mark if correct answer is shown, but with no Indian Rupee symbol, even if no calculations are shown. Do not award marks for the formula.	**(2)**

Type MS · The economic cycle: phases, jobs and prices

Answer 3 of 11 · Question 1 part c · 2 marks

2020 JAN · Paper 02 (regional R) · extract 3 of 6 · find part c in this mark scheme extract

Question Number	Answer	Mark
1(f)	**AO2 3 marks** Award 1 mark for leftward shift of demand, labelled Award 1 mark for lower equilibrium price, labelled Award 1 mark for lower equilibrium quantity, labelled  	**(3)**

Type MS · The economic cycle: phases, jobs and prices

Answer 3 of 11 · Question 1 part c · 2 marks

2020 JAN · Paper 02 (regional R) · extract 4 of 6 · find part c in this mark scheme extract

Question Number	Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is to gain market share **(1).** Barley producers in China might be forced out of production **(1)** resulting in a higher market share for Australian barley producers **(1).** • One reason is to get rid of surplus goods **(1).** Australia may have produced too much barley in one year **(1).** Reducing the price may result in higher demand for Australian barley in China **(1).** Accept any other appropriate response.	**(3)**

Type MS · The economic cycle: phases, jobs and prices

Answer 3 of 11 · Question 1 part c · 2 marks

2020 JAN · Paper 02 (regional R) · extract 5 of 6 · find part c in this mark scheme extract

Question Number	Indicative content
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Direct taxes are government charges imposed on income and wealth • Lowering direct taxes such as income tax rates will result in employees keeping more take home pay • This increases disposable income from employment and gives an incentive to work rather than live on benefits • Increased income could be spent on more/better quality goods and services, thereby increasing standard of living in Vietnam • With greater disposable income being spent within the Vietnamese economy, output and employment may increase

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · The economic cycle: phases, jobs and prices

Answer 3 of 11 · Question 1 part c · 2 marks

2020 JAN · Paper 02 (regional R) · extract 6 of 6 · find part c in this mark scheme extract

Question Number	**Answer**	Mark

Type MS · The economic cycle: phases, jobs and prices

Answer 4 of 11 · Question 1 part b · 1 mark

2020 NOV · Paper 02 (regional R) · extract 1 of 5 · find part b in this mark scheme extract

1(a)	**AO1 1 marks** C Voluntary	**(1)**

Question Number	**Answer**	Mark
1(b)	**AO1 1 mark** D Recovery	**(1)**

Question Number	**Answer**	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to monetary authority and 1 mark for reference to its functions The monetary authority that manages a country's money supply **(1)** and interest rates/banking system **(1)** Accept any other appropriate response	**(2)**

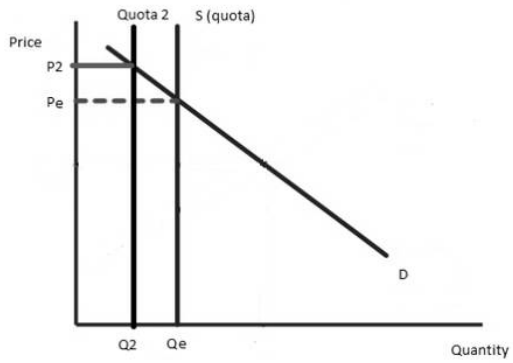
Question Number	**Answer**	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference harming domestic businesses and 1 mark for reference to competition from foreign businesses Domestic businesses can go out of business **(1)** if products from foreign businesses are better/cheaper **(1)** Accept any other appropriate response	**(2)**

Type MS · The economic cycle: phases, jobs and prices

Answer 4 of 11 · Question 1 part b · 1 mark

2020 NOV · Paper 02 (regional R) · extract 2 of 5 · find part b in this mark scheme extract

Question Number	Answer	Mark
1(e)	**A02 2 marks** Award 1 mark for showing the calculation 21 000 – (1 500 x 20%) **(1)** Award 1 mark for the correct answer = €20 700 **(1)** Award 2 marks if the correct answer €20 700 is shown, with € sign, even if no calculations are shown Award 1 mark if correct answer 20 700 is shown, but with no € sign, even if no calculations are shown Do not award marks for the formula	**(2)**

Question Number	Answer	Mark
1(f)	**AO2 3 marks** Award 1 mark for leftward shift of perfectly inelastic supply curve, labelled Award 1 mark for higher equilibrium price, labelled Award 1 mark for lower equilibrium quantity, labelled  	**(3)**

Type MS · The economic cycle: phases, jobs and prices

Answer 4 of 11 · Question 1 part b · 1 mark

2020 NOV · Paper 02 (regional R) · extract 3 of 5 · find part b in this mark scheme extract

Question Number	**Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant impact Award 1 mark for developing the impact Award 1 mark for the response being in context • The impact is that wages do not buy the same amount of goods **(1)** this is because prices are rising at a faster rate than wages **(1).** To prevent this wages need to rise such as the recent increase in Mexico **(1)** • The impact might be limited **(1)** if wages for some workers in Mexico are linked to inflation **(1).** This means that the standard of living remains the same if wages are keeping up with inflation **(1)** Accept any other appropriate response	**(3)**

Question Number	**Indicative content**	Mark
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Trade blocs are usually groups of countries in specific regions that manage and promote trade activities • This can result in more free trade between member countries • This can benefit member countries in the AfCFTA because they have access to a wider market which will consist of 1.2bn people • GDP for the trade bloc is expected to be $2.5 trillion. • Firms in the trade bloc may be able to exploit economies of scale or specialisation can occur • Prices may be cheaper due to a reduction of tariffs and quotas • Consumers may benefit with lower prices and/or greater choice of goods and services • Being a member of the AfCFTA trade bloc may attract increased FDI	**(6)**

Type MS · The economic cycle: phases, jobs and prices

Answer 4 of 11 · Question 1 part b · 1 mark

2020 NOV · Paper 02 (regional R) · extract 4 of 5 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–2**	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	**3–4**	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	**5–6**	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · The economic cycle: phases, jobs and prices

Answer 4 of 11 · Question 1 part b · 1 mark

2020 NOV · Paper 02 (regional R) · extract 5 of 5 · find part b in this mark scheme extract

Question Number	**Answer**	Mark

Type MS · The economic cycle: phases, jobs and prices

Answer 5 of 11 · Question 3 part d · 6 marks

2020 NOV · Paper 02 · extract 1 of 5 · find part d in this mark scheme extract

3(a)	**AO1 1 mark** **B** Increased inflation	**(1)**

Question Number	**Answer**	Mark
3(b)	**AO1 1 mark** **B** Progressive	**(1)**

Question Number	**Answer**	Mark
3(c)	**AO2 3 marks** Award 1 mark for identifying an advantage Award 1 mark for developing the advantage Award 1 mark for the response being in context • One advantage is the MNCs may create jobs **(1)**.The palm plantations require many workers to harvest the palm oil **(1)**. This can reduce the amount of unemployment in Indonesia **(1)** • One advantage is the contribution to government revenue **(1)**. Foreign MNCs might be required to pay taxes to the Indonesian Government **(1)**. This can be used to fund public services within Indonesia **(1)** Accept any other appropriate response	**(3)**

Type MS · The economic cycle: phases, jobs and prices

Answer 5 of 11 · Question 3 part d · 6 marks

2020 NOV · Paper 02 · extract 2 of 5 · find part d in this mark scheme extract

Question Number	Indicative content	Mark
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Recession is when GDP falls for two consecutive quarters • During a recession there is a decline in consumption and investment • There is often a loss of confidence which makes consumers buy fewer goods and services • Lower consumption of goods and services results in some firms requiring fewer workers • Manufacturers may cut back on recruitment and/or the number of employees in reaction to falling orders • Overall, the unemployment rate rises in a recession	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–2**	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	**3–4**	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	**5–6**	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · The economic cycle: phases, jobs and prices

Answer 5 of 11 · Question 3 part d · 6 marks

2020 NOV · Paper 02 · extract 3 of 5 · find part d in this mark scheme extract

Question Number	Indicative content	Mark
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Monetary policy is the use of interest rates and money supply to affect the level of economic activity • Expansionary monetary policy aims to boost economic growth by lowering interest rates • China has lowered interest rates to 4.35% in 2018/2019 from a high of 6% in 2014 • This makes borrowing more attractive to firms and households as a lower rate of interest is charged on loans • Firms and consumers with existing loans and mortgages will also see a drop in interest payments and therefore will have more disposable income to spend • This may increase the demand for goods and services within the Chinese economy, thus increasing economic growth **AO4** • However, not all economic growth is dependent upon interest rates • Other factors such as business and consumer confidence play a huge role in the demand for goods and services • Often there is a time lag for a reduction in interest rates to feed through into the economy in terms of increased demand • Lower interest rates may increase demand for goods and services but can result in inflationary pressures if supply is not able to keep up with demand • The effectiveness may depend upon a range of factors within the Chinese economy	**(9)**

Type MS · The economic cycle: phases, jobs and prices

Answer 5 of 11 · Question 3 part d · 6 marks

2020 NOV · Paper 02 · extract 4 of 5 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–3**	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	**4–6**	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	**7–9**	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · The economic cycle: phases, jobs and prices

Answer 5 of 11 · Question 3 part d · 6 marks

2020 NOV · Paper 02 · extract 5 of 5 · find part d in this mark scheme extract

Question Number	Answer	Mark

Type MS · The economic cycle: phases, jobs and prices

Answer 6 of 11 · Question 1 part c · 2 marks

2021 JUN · Paper 02 · extract 1 of 5 · find part c in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **C** Seasonal A is not correct because this is caused by changes in whole industries B is not correct because this is caused by falling demand as a result of a downturn in the economic cycle D is not correct because this is caused from people choosing not to work	**(1)**

Question Number	Which **one** of the following terms refers to a tax on imported goods? Answer	Mark
1(b)	**AO1 1 mark** The only correct answer is **B** Tariff A is not correct because this is money paid by a government to reduce costs and lower prices C is not correct because this is a financial penalty for firms that break laws D is not correct because this is a document that gives business the right to discharge a certain quantity of polluting material	**(1)**

Question Number	What is meant by the term recession? Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to fall in GDP and 1 mark for reference to time period A fall in GDP **(1)** for two successive quarters **(1)**. Accept any other appropriate response	**(2)**

Type MS · The economic cycle: phases, jobs and prices

Answer 6 of 11 · Question 1 part c · 2 marks

2021 JUN · Paper 02 · extract 2 of 5 · find part c in this mark scheme extract

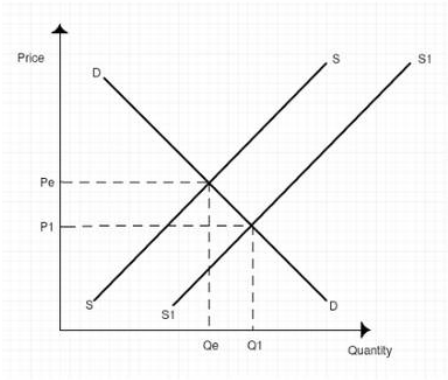
Question Number	What is meant by the term dumping? Answer	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference to exporting goods and 1 mark for reference to the price being below manufacturing costs A firm sells goods in another country **(1)** below the cost of production **(1).** Accept any other appropriate response	**(2)**

Question Number	Calculate **the fiscal surplus/deficit in Indian rupees crore (Rs)** for India in 2019–2020. You are advised to show your working. Answer	Mark
1(e)	**A02 2 marks** Award 1 mark for showing the calculation 2 080 201 Rs – 2 784 200 Rs **(1)** Award 1 mark for the correct answer = –703 999 Rs **(1)** Award 2 marks for the correct answer of –703 999 Rs even if no calculations are shown. Award 1 mark if the answer given is –703 999 with or without calculations shown Do not award marks for the formula	**(2)**

Type MS · The economic cycle: phases, jobs and prices

Answer 6 of 11 · Question 1 part c · 2 marks

2021 JUN · Paper 02 · extract 3 of 5 · find part c in this mark scheme extract

Question Number	Using the diagram below, draw the likely effects of the introduction of a subsidy on the equilibrium price and quantity of new cars for families with three or more children. Label the new curve, the new equilibrium price and the new equilibrium quantity. Answer	Mark
1(f)	**AO2 3 marks** Award 1 mark for rightward shift of supply curve, labelled Award 1 mark for lower equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

Question Number	Explain **one** benefit to the UK Government of providing parks. Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant benefit Award 1 mark for developing the benefit Award 1 mark for the response being in context • One benefit is that national parks can protect a large area of land **(1)**. The Lake District National Park has over 12% of woodland that is protected **(1)**. Restrictions are in place to stop business activities that could damage the environment **(1)** • One benefit is that national parks can be used for recreational purposes **(1)**. Over 19.17 million people visited the Lake District National Park in 2018 **(1)** increasing tourism for local firms **(1)** Accept any other appropriate response	**(3)**

Type MS · The economic cycle: phases, jobs and prices

Answer 6 of 11 · Question 1 part c · 2 marks

2021 JUN · Paper 02 · extract 4 of 5 · find part c in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, analyse the benefits of FDI for a country such as Ireland. Indicative content
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • FDI is the value of inward investment from other countries/firms into a country • FDI can bring in capital investment to Ireland as MNCs will need buildings, equipment and infrastructure to operate within the country • Jobs can be created by MNCs which reduces unemployment and increases disposable income in Ireland • There may be increased demand for the products or services of local Irish firms that supply MNCs • MNCs may train up the local workforce and MNCs often bring new technologies, techniques and methods • Increased employment and wages should lead to increased tax for the Irish Government • Exports may also increase therefore improving the balance of payments for Ireland

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity an organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · The economic cycle: phases, jobs and prices

Answer 6 of 11 · Question 1 part c · 2 marks

2021 JUN · Paper 02 · extract 5 of 5 · find part c in this mark scheme extract

Question Number	An appreciation in a country's exchange rate is most likely to lead to which **one** of the following? Answer	Mark

Type MS · The economic cycle: phases, jobs and prices

Answer 7 of 11 · Question 1 part c · 2 marks

2021 NOV · Paper 02 · extract 1 of 5 · find part c in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **D** Quota A is not correct because this refers to currency and not a product B is not correct because this relates to price rather than quantity C is not correct because this defines a good not provided by the market	**(1)**

Question Number	**Answer**	Mark
1(b)	**AO1 1 mark** The only correct answer is: **C** Supply-side A is not correct because this refers to exchange of goods and services B is not correct because this concerns government revenue and expenditure D is not correct because this is the price of one currency in terms of another	**(1)**

Question Number	**Answer**	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to GDP/economic cycle and 1 mark for reference to speed A period where GDP is still growing **(1)** but more slowly **(1)** Accept any other appropriate response	**(2)**

Type MS · The economic cycle: phases, jobs and prices

Answer 7 of 11 · Question 1 part c · 2 marks

2021 NOV · Paper 02 · extract 2 of 5 · find part c in this mark scheme extract

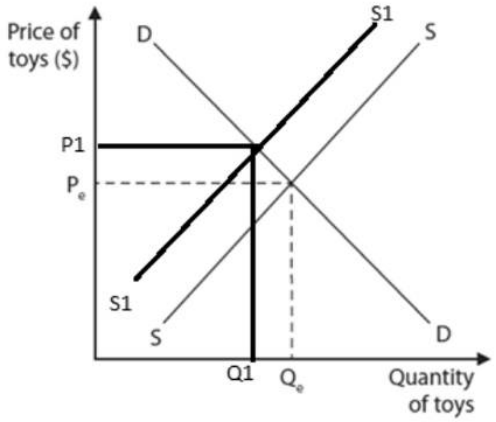
Question Number	**Answer**	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference to new industry and 1 mark for reference to not well known in the market New/fledgling industries **(1)** that have yet to establish themselves **(1)** Accept any other appropriate response	**(2)**

Question Number	**Answer**	Mark
1(e)	**A02 2 marks** Award 1 mark for showing the calculation £73m x €1.08 **(1)** Award 1 mark for the correct answer. = €78 840 000 or €78.84m **(1)** Award 2 marks for the correct answer of €78 840 000 or €78.84m even if no calculations are shown Award 1 mark if the answer given is 78 840 000 or 78.84m with or without calculations shown Do not award marks for the formula	**(2)**

Type MS · The economic cycle: phases, jobs and prices

Answer 7 of 11 · Question 1 part c · 2 marks

2021 NOV · Paper 02 · extract 3 of 5 · find part c in this mark scheme extract

Question Number	Answer	Mark
1(f)	**AO2 3 marks** Award 1 mark for leftward shift of supply curve, labelled Award 1 mark for higher equilibrium price, labelled Award 1 mark for lower equilibrium quantity, labelled  **Figure 1**	**(3)**

Question Number	Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant disadvantage Award 1 mark for developing the disadvantage Award 1 mark for the response being in context • One disadvantage is an increase in inflation **(1)**. Growth of 4.9% in Malaysia means that firms will require more resources to make more goods and services **(1)**. If there is a shortage of resources then this might result in cost push inflation **(1)** • One disadvantage is the damage caused to the environment **(1)**. Growth of 4.9% means more resources will be required to make goods and services **(1)**. This could result in an increase in pollution levels within Malaysia **(1)** Accept any other appropriate response	**(3)**

Type MS · The economic cycle: phases, jobs and prices

Answer 7 of 11 · Question 1 part c · 2 marks

2021 NOV · Paper 02 · extract 4 of 5 · find part c in this mark scheme extract

Question Number	**Indicative content**
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Monetary policy is the use of interest rates and money supply to control (aggregate) demand in the economy • Monetary policy can be used to reduce inflationary pressures in Kenya by the central bank increasing interest rates • An increase in interest rates above the current 9% base rate might help to reduce spending and investment in the economy thus slowing down economic activity and reducing inflationary pressure • There might be a greater reward for saving which may discourage consumers from spending helping to reduce (aggregate) demand and therefore inflation in the economy • A rise in interest rates may increase the value of the currency which could result in cheaper imports and therefore reducing inflation

Level	**Mark**	**Descriptor**
	0	No rewardable material.
Level 1	1–2	Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · The economic cycle: phases, jobs and prices

Answer 7 of 11 · Question 1 part c · 2 marks

2021 NOV · Paper 02 · extract 5 of 5 · find part c in this mark scheme extract

Question Number	**Answer**	Mark

Type MS · The economic cycle: phases, jobs and prices

Answer 8 of 11 · Question 2 part d · 2 marks

2022 JUN · Paper 02 · extract 1 of 5 · find part d in this mark scheme extract

Question Number	Answer	Mark
2(a)	**AO1 1 mark** The only correct answer is: **D** integration and interdependence of national economies A is not correct because globalisation encourages trade and specialisation B is not correct because trade barriers should be reduced C is not correct because increased globalisation reduces the need for national legislation	**(1)**

Question Number	Answer	Mark
2(b)	**AO1 1 mark** The only correct answer is: **B** An increase in environmental damage A is not correct because unemployment should fall due to more jobs being available in the economy C is not correct because investment is likely to increase due to economic growth and firms expanding D is not correct because tax revenues are likely to rise as more people have jobs/ firms are making more profit	**(1)**

Question Number	State one type of unemployment. **Answer**	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** type. • cyclical • structural • seasonal • voluntary • frictional Accept any other appropriate responses.	**(1)**

Type MS · The economic cycle: phases, jobs and prices

Answer 8 of 11 · Question 2 part d · 2 marks

2022 JUN · Paper 02 · extract 2 of 5 · find part d in this mark scheme extract

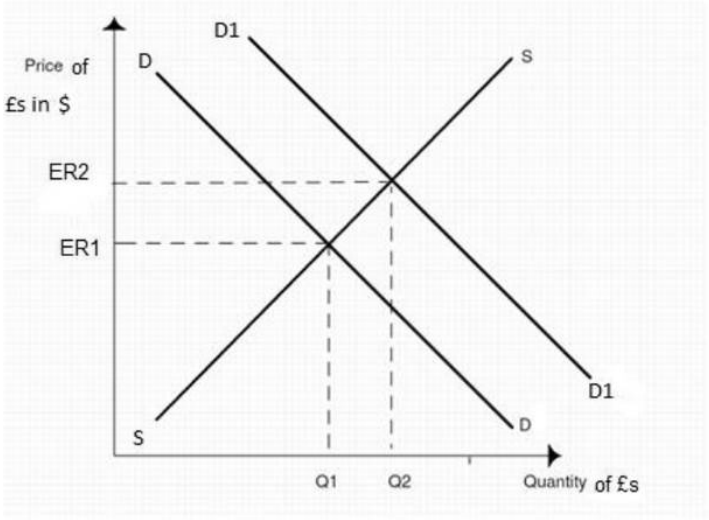
Question Number	What is meant by the term recovery? **Answer**	Mark
2(d)	**AO1 2 marks** Award 1 mark for reference to the economic cycle/recession and 1 mark for reference to increase in economic activity A phase in the economic cycle **(1)** where GDP starts to rise again/when consumers start to regain confidence/economic activity is on the increase **(1)** Accept any other appropriate response.	**(2)**

Question Number	Explain one impact of rising inflation on shoe leather costs for Nigeria. **Answer**	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant impact Award 1 mark for developing the impact Award 1 mark for the response being in context • One impact is that shoe leather costs may increase **(1).** Consumers will try to find cheaper bread and meat **(1).** This means that they will spend more time shopping around and looking for goods **(1)** Accept any other appropriate response.	**(3)**

Type MS · The economic cycle: phases, jobs and prices

Answer 8 of 11 · Question 2 part d · 2 marks

2022 JUN · Paper 02 · extract 3 of 5 · find part d in this mark scheme extract

Question Number	Draw the effects on the exchange rate of the UK pound (£) from an increase in exports to the US. Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity. **Answer**	Mark
2(f)	**AO2 3 marks** Award 1 mark for right shift of demand curve, labelled Award 1 mark for higher equilibrium exchange rate, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

Type MS · The economic cycle: phases, jobs and prices

Answer 8 of 11 · Question 2 part d · 2 marks

2022 JUN · Paper 02 · extract 4 of 5 · find part d in this mark scheme extract

Question Number	Assess the advantages of free trade to firms located within the EU. **Indicative content**	Mark
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Free trade is a situation in which goods and services coming into or going out of a country/trade area are not controlled or taxed • The new free trade area consists of over 770 million people and trades over €88bn in goods and €34bn in services every year • Firms located within the EU would be able to access a much wider market for its goods and services thereby increasing sales • Mercosur is removing tariffs on 91% of EU goods on items such as clothing, wine, chemicals and canned peaches • This means that any EU firm operating in these areas will be able to export to the Mercosur area without additional tariffs and could increase revenues • Expansion into a new trading bloc could help to reduce risk for EU firms if demand falls within the EU **AO4** • However, free trade also means that EU firms will face greater competition from firms within the Mercosur area • EU firms may have increased competition from cheaper, low-cost firms within the Mercosur area that may have lower wage costs compared to EU firms • The EU has agreed to end 92% of tariffs on goods from the Mercosur area • This may have a negative impact on EU farmers particularly those involved in the production of beef, sugar and chicken • The overall impact will depend on the quality and price of the products made within the EU compared to the products made in the Mercosur area	**(9)**

Type MS · The economic cycle: phases, jobs and prices

Answer 8 of 11 · Question 2 part d · 2 marks

2022 JUN · Paper 02 · extract 5 of 5 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Question Number	**Answer**	Mark

Type MS · The economic cycle: phases, jobs and prices

Answer 9 of 11 · Question 1 part a · 1 mark

2023 JUN · Paper 02 · extract 1 of 5 · find part a in this mark scheme extract

1(a)	**AO1 1 marks** The only correct answer is: **B** GDP starts to rise and economic activity is on the increase A is not correct because this describes a boom C is not correct because this describes a downturn D is not correct because this describes a recession	**(1)**

Question Number	Which **one** of the following is an example of frictional unemployment? Answer	Mark
1(b)	**AO1 1 mark** The only correct answer is: **B** Workers are unemployed whilst waiting to start a new job A is not correct because this is an example of cyclical unemployment C is not correct because this is an example of seasonal unemployment D is not correct because this is an example of structural unemployment	**(1)**

Question Number	What is meant by the term exports? Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to goods and 1 mark for reference to being sent to another country The sale of goods or services **(1)** to another country **(1)** Accept any other appropriate response.	**(2)**

Type MS · The economic cycle: phases, jobs and prices

Answer 9 of 11 · Question 1 part a · 1 mark

2023 JUN · Paper 02 · extract 2 of 5 · find part a in this mark scheme extract

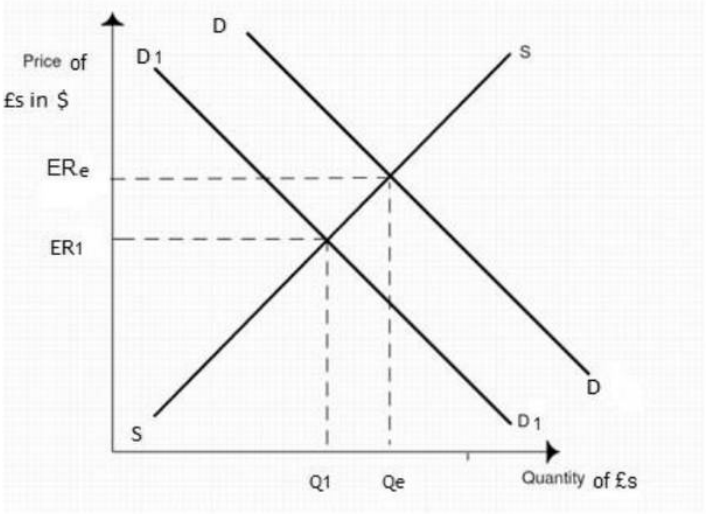
Question Number	What is meant by the term globalisation? Answer	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference to interconnection and 1 mark for reference to world's economies Growing interconnection **(1)** of the world's economies **(1)** Accept any other appropriate response.	**(2)**

Question Number	Calculate how much the **average price level** increased between 2018 and 2021. You are advised to show your working. Answer	Mark
1(e)	**AO2 2 marks** Award 1 mark for showing the calculation 105.4 - 100 **(1)** Award 1 mark for the correct answer = 5.4% **(1)** Award 2 marks if the correct answer 5.4% is shown, with percentage sign, even if no calculations are shown Award 1 mark if the answer given is 5.4, but with no percentage sign, with or without calculations shown Do not award marks for the formula.	**(2)**

Type MS · The economic cycle: phases, jobs and prices

Answer 9 of 11 · Question 1 part a · 1 mark

2023 JUN · Paper 02 · extract 3 of 5 · find part a in this mark scheme extract

Question Number	Using the diagram below, draw the effects of a decrease in UK exports to the US on the equilibrium exchange rate of UK pounds (£). Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity. Answer	Mark
1(f)	**AO2 3 marks** Award 1 mark for leftward shift of demand curve, labelled Award 1 mark for lower equilibrium exchange rate, labelled Award 1 mark for lower equilibrium quantity, labelled  	**(3)**

Question Number	Explain one effect of rising inflation on menu costs in the UK. Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant effect Award 1 mark for developing the effect Award 1 mark for the response being in context • One effect is that menu costs may increase **(1).** When inflation is high, prices need changing frequently **(1).** Firms have to spend money to print new brochures/update websites with the higher prices **(1)** Accept any other appropriate response.	**(3)**

Type MS · The economic cycle: phases, jobs and prices

Answer 9 of 11 · Question 1 part a · 1 mark

2023 JUN · Paper 02 · extract 4 of 5 · find part a in this mark scheme extract

Question Number	Analyse the possible benefits for Columbia of having import quotas. Indicative content	Mark
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Quotas are physical limits on the quantity of imports allowed into a country • Quotas on rice might help to protect domestic rice farmers • By restricting the amount of rice imported into Columbia domestic rice farmers may gain more market share • This could result in higher revenues for domestic rice farmers • Rice is a staple food in Columbia therefore is of national importance • Therefore, domestic rice farmers might be able to increase the supply of rice to meet any shortages if imports are restricted by quotas	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · The economic cycle: phases, jobs and prices

Answer 9 of 11 · Question 1 part a · 1 mark

2023 JUN · Paper 02 · extract 5 of 5 · find part a in this mark scheme extract

Question Number	Fiscal policy would involve a change in which **one** of the following? Answer	Mark

Type MS · The economic cycle: phases, jobs and prices

Answer 10 of 11 · Question 2 part g · 9 marks

2024 JUN · Paper 02 (regional R) · extract 1 of 6 · find part g in this mark scheme extract

2(a)	**AO1 1 mark** The only correct answer is: **B** Number of unemployed/Total labour force x 100 A is not correct because this calculates the labour force participation rate C is not correct because this calculates the employment rate D is not correct because this calculates the unemployment rate as a percentage of the total population	**(1)**

Type MS · The economic cycle: phases, jobs and prices

Answer 10 of 11 · Question 2 part g · 9 marks

2024 JUN · Paper 02 (regional R) · extract 2 of 6 · find part g in this mark scheme extract

Question Number	Which **one** of the following describes a role of the World Trade Organization (WTO)? **Answer**	Mark
2(b)	**AO1 1 mark** The only correct answer is: **A** Help with trade negotiations B is not correct because this is not carried out by the WTO C is not correct because the WTO does not offer financial assistance to any countries D is not correct because the WTO does not get involved in exchange rate fluctuations	**(1)**

Question Number	State **one** possible reason for a current account surplus. **Answer**	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** possible reason • Improving quality of domestic goods • Poorer quality of foreign goods • Lower price of domestic goods • Higher price of foreign goods • Depreciating exchange rate • Value of exports is greater the value of imports Accept any other appropriate response	**(1)**

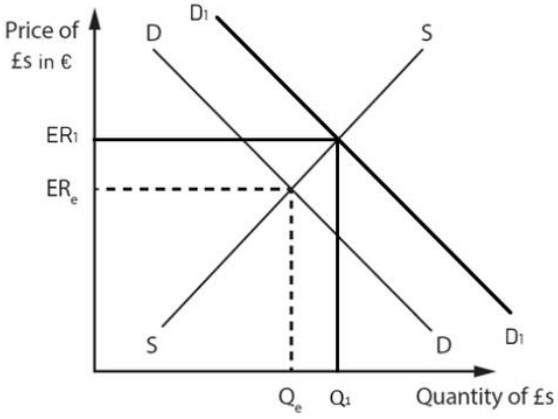
Question Number	What is meant by the term relative poverty? **Answer**	Mark
2(d)	**AO1 2 marks** Award up to 2 marks for a correct definition The standard of living is below **(1)** the typical average living standards in that society **(1)** Accept any other appropriate response	**(2)**

Type MS · The economic cycle: phases, jobs and prices

Answer 10 of 11 · Question 2 part g · 9 marks

2024 JUN · Paper 02 (regional R) · extract 3 of 6 · find part g in this mark scheme extract

Question Number	Explain **one** benefit of asset purchasing by a central bank such as the ECB. **Answer**	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant benefit Award 1 mark for developing the benefit Award 1 mark for the response being in context • One benefit is that this can lead to higher levels of consumer and business spending **(1).** Purchasing assets injects money into the economy **(1)** which can stimulate economic growth **(1)** • One benefit is (aggregate) demand will increase **(1)** because of the increase in the flow of money from central banks to commercial banks **(1).** This extra money can be loaned to consumers and firms **(1)** Accept any other appropriate response	**(3)**

Question Number	Using the diagram below, draw the likely effect of this rise in UK interest rates on the equilibrium exchange rate of the UK pound (£) against the euro (€). Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity. **Answer**	Mark
2(f)	**AO2 3 marks** Award 1 mark for a rightward shift of demand, labelled Award 1 mark for a higher equilibrium exchange rate, labelled Award 1 mark for a higher equilibrium quantity, labelled  	**(3)**

Type MS · The economic cycle: phases, jobs and prices

Answer 10 of 11 · Question 2 part g · 9 marks

2024 JUN · Paper 02 (regional R) · extract 4 of 6 · find part g in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess how a recovery may affect unemployment for a country such as China. **Indicative content**	Mark
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • The recovery phase follows a recession and is marked by an increase in economic activity • As Chinese firms begin to recover from the downturn, they may increase production and hire more workers, particularly in the services and construction sectors, to meet the rising demand for goods and services • This can lead to an increase in job creation and a decrease in unemployment • During the recovery phase consumer confidence may increase leading to higher consumer spending and further stimulating economic growth • This can also lead to increased job creation as Chinese firms respond to the higher demand for their products or services • As the Chinese economy improves and consumer demand increases, there may be more opportunities for individuals to start their own firms and create jobs for themselves and others **AO4** • However, there are also potential challenges to job creation during the recovery phase • Chinese firms may be hesitant to hire new workers if they are concerned about the sustainability of the recovery or uncertain about future economic conditions • The 5% economic growth target might not be achieved and some analysts expect the growth in exports to be temporary • During the recovery phase, firms may take advantage of the improving economic conditions to invest in new technologies or automation that could replace some jobs with machines • This could lead to job losses in certain sectors or industries • Some sectors of the Chinese economy may recover more slowly than others so unemployment may not fall in all sectors of the economy	**(9)**

Type MS · The economic cycle: phases, jobs and prices

Answer 10 of 11 · Question 2 part g · 9 marks

2024 JUN · Paper 02 (regional R) · extract 5 of 6 · find part g in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · The economic cycle: phases, jobs and prices

Answer 10 of 11 · Question 2 part g · 9 marks

2024 JUN · Paper 02 (regional R) · extract 6 of 6 · find part g in this mark scheme extract

Question Number	What is the fiscal deficit/surplus? **Answer**	Mark

	Answer	
1(a)	**AO1 1 mark** The only correct answer is: **B** Lower transportation costs A is not correct because increasing these barriers would likely decrease globalisation by limiting international trade C is not correct because it is the increased significance of multinational corporations that contributes to globalisation D is not correct because this would make trade more expensive and less likely to occur	**(1)**

Question Number	What is likely to happen if a government successfully reduces unemployment? **Answer**	Mark
1(b)	**AO1 1 mark** The only correct answer is: **A** Inflation might rise as more people have money to spend B is not correct because employment growth is associated with higher output and economic growth C is not correct because more people have jobs and therefore more money to spend D is not correct because government spending on benefits would decrease as more people are now employed	**(1)**

Question Number	What is meant by the term trading bloc? **Answer**	Mark
1(c)	**AO1 2 marks** Award 2 marks for a correct definition A trading bloc is a group of countries that join together **(1)** to reduce/eliminate trade barriers between themselves **(1)** Accept any other appropriate response	**(2)**

Type MS · The economic cycle: phases, jobs and prices

Answer 11 of 11 · Question 1 part h · 6 marks

2025 JUN · Paper 02 · extract 2 of 6 · find part h in this mark scheme extract

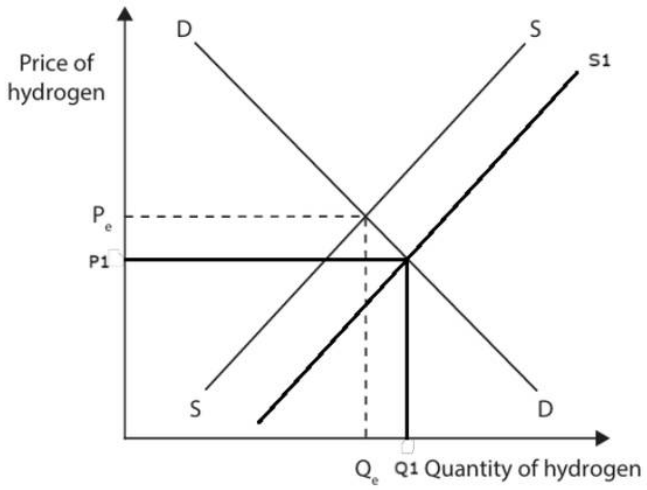
Question Number	Describe **one** impact on consumers of an increase in interest rates. **Answer**	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference to the impact and 1 mark for the development of the impact One impact is that the cost of borrowing becomes more expensive **(1)** therefore fewer consumers take out loans to buy products **(1)** Accept any other appropriate response	**(2)**

Question Number	Calculate the **visible trade balance** in €bn for the country. You are advised to show your working. **Answer**	Mark
1(e)	**A02 2 marks** Award 1 mark for export of goods – import of goods €150bn - €120bn **(1)** Award 1 mark for the correct answer = €30bn **(1)** Award 2 marks if the correct answer is €30bn even if no calculations are shown Award 1 mark if the answer given is 30bn even if no calculations are shown Do not award marks for the formula.	**(2)**

Type MS · The economic cycle: phases, jobs and prices

Answer 11 of 11 · Question 1 part h · 6 marks

2025 JUN · Paper 02 · extract 3 of 6 · find part h in this mark scheme extract

Question Number	Using the diagram below, draw the effects of the introduction of the subsidy on the equilibrium price and quantity of hydrogen in France. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	Mark
1(f)	**AO2 3 marks** Award 1 mark for a rightward shift of the supply curve, labelled Award 1 mark for a lower equilibrium price, labelled Award 1 mark for a higher equilibrium quantity, labelled  	**(3)**

Type MS · The economic cycle: phases, jobs and prices

Answer 11 of 11 · Question 1 part h · 6 marks

2025 JUN · Paper 02 · extract 4 of 6 · find part h in this mark scheme extract

Question Number	Explain **one** possible benefit of a fiscal surplus for a country such as Portugal. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant benefit Award 1 mark for developing the benefit Award 1 mark for the response being in context • One benefit is that Portugal can spend more money on public services **(1).** Investing more in these sectors can lead to better schools and hospitals **(1)** therefore improving the quality of life for its citizens. **(1)** Accept any other appropriate response	**(3)**

Question Number	With reference to the data above and your knowledge of economics, analyse the impact of a recovery on unemployment for a country such as Greece. **Indicative content**	Mark
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Firms might start hiring more people because they need more workers to meet the demand for their products or services reducing unemployment levels in Greece • Economic recovery often encourages entrepreneurs to start new businesses • These new firms will need employees, creating more jobs and increasing overall employment levels in Greece • When the economy is doing well, both firms and consumers feel more confident • Firms are more likely to invest in new projects or expand, needing more workers • Consumers spend more which can lead to more jobs in retail, services and other sectors	**(6)**

Type MS · The economic cycle: phases, jobs and prices

Answer 11 of 11 · Question 1 part h · 6 marks

2025 JUN · Paper 02 · extract 5 of 6 · find part h in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · The economic cycle: phases, jobs and prices

Answer 11 of 11 · Question 1 part h · 6 marks

2025 JUN · Paper 02 · extract 6 of 6 · find part h in this mark scheme extract

Question Number	Which **one** of the following is a government policy that changes the rate of interest? **Answer**	Mark